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Quarterly Report for Deer Velvet in Korea
Deer Industry New Zealand

March 2010

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1 Imports

1.1 VELVET IMPORTS

An analysis of the import statistics for deer velvet from November 2009 to February 2010 shows the following:

1.1.1 Young Antlers, Total – Quarterly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY	NOV 08 – FEB 09		NOV 09 – FEB 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	3,757,365	68,339	3,866,000	59,000	2.89	51.97
Russia	2,624,107	13,752	2,081,000	15,000	-20.70	27.97
PR China	1,061,066	8,869	1,459,000	14,000	37.50	19.61
Australia	142,976	5,811	33,000	1,000	-76.92	0.44
USA	437	0	0	0	0	0.00
Angola	0	0	0	0	0	0.00
Total	7,585,951	96,771	7,439,000	8,9000	-1.94%	100.00%
NZ Share	49.53%	70.62%	51.97%	66.29%	16.76%	-

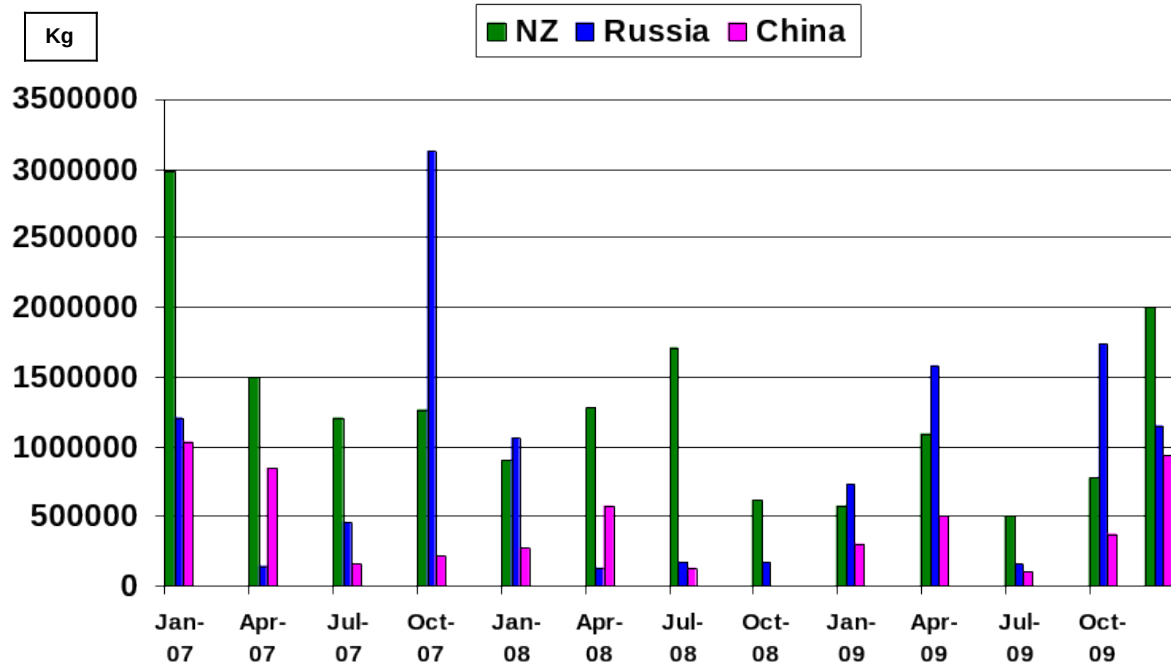
Source: Korea Customs Service

Comparing to the last quarter of August - October 2009, New Zealand's export and market share increased by USD 1,468,000 reacted by seasonal demand.

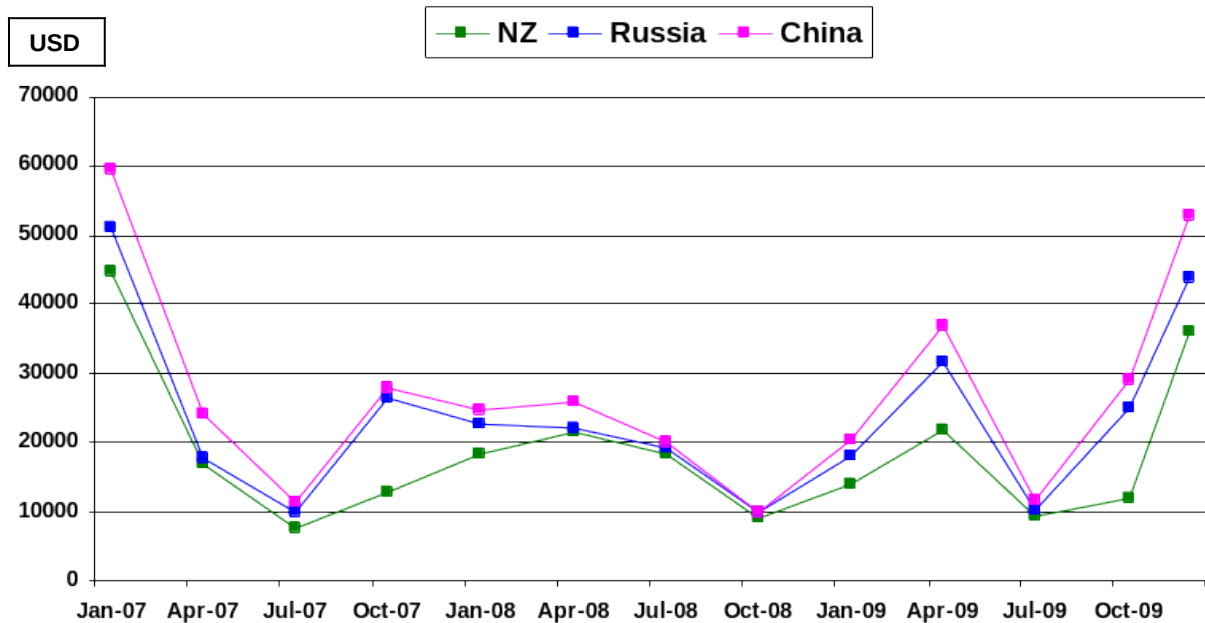
In year-on-year terms, export value and market share are remained at similar level.

However, Korea's total import decreased by 1.94 percent impacted by the downturn trend in consumer market.

Quarterly Import Value Jan 07 - Dec 09



Quarterly Import Volume Jan 07 - Dec 09



1.1.2 Young Antlers, Total – Yearly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY	MAR 08 – FEB 09		MAR 09 – FEB 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	11,311,084	171,631	9,057,419	163,738	-19.92	44.22
Russia	4,239,736	21,381	7,744,566	55,294	82.67	37.81
China	3,241,956	23,996	3,447,000	34,600	6.32	16.83
Australia	340,085	9,146	101,322	2,628	-70.21	0.49
USA.	410	0	39	0	-90.49	0.00
Kazakhstan	0	0	130,000	1,000	-100.00	0.63
Angola	24	0	0	0	-100.00	0.00
Total	19,133,295	226,154	20,480,364	257,260	7.04%	100.00%
NZ Share	59.12%	75.89%	44.22%	63.65%	4.53%	-

Source: Korea Customs Service

The table shows decline in all value, volume and market share of New Zealand comparing to the previous year.

Industry people says that current local market is suffering from high international price and cold reaction from consumers but keeps wait until late March when the seasonal demand for oriental medicine revives.

1.2 Hard Antler Imports (HS No. 0507.90.1200)

COUNTRY	JAN 08 – DEC 08		JAN 09 – DEC 09		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	144,174	14,186	123,000	12,000	-14.69	5.51
Russia	2,419,661	216,644	1,844,432	434,914	-23.77	82.65
China	55,000	5,000	155,095	14132	181.99	6.95
Argentina	55,000	4,994	109,000	9,961	98.18	4.88
Australia	207	-	40	1	-80.68	0.00
Total	2,674,042	240,824	2,231,567	471,008	-16.55%	100.00%
NZ Share	5.39%	5.89%	5.51%	2.55%	0.12%	-

Source: Korea Customs Service

The total import value of hard antler between January 2009 and February 2010 declined but market share is slightly increased in year-on-year terms.

1.3 VENISON IMPORTS (HS NO. 0208.90.1000)

COUNTRY	JAN 08 – DEC 08		JAN 09 – DEC 09		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	15,115	7,441	2,421	74	-83.98	100.00
Total	15,115	7,441	2,421	74	-83.98%	100.00%
NZ Share	100.00%	100.00%	100.00%	100.00%	0.00%	-

Source: Korea Customs Service

There was no import of venison between November and December 2009.

1.4 DEER IMPORTS (HS NO. 0106.00.1050)

Korea did not import any live deer from November 2009 to February 2010.

1.5 QUARANTINE STATISTICS OF DEER VELVET FROM MAJOR EXPORTERS

These include hand-carried velvet by tourists.

COUNTRY	JAN 08 – DEC 08		JAN 09 – DEC 09	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	38,958.50	125,099.00	31,983.10	127,192.40
Russia	18,180.70	0.00	36,039.00	0.00
China	34,658.70	33.20	44,031.80	36.10
Hong Kong	11,229.50	0.00	22,331.40	0.00
Australia	1,473.20	2,001.00	144.50	8,048.80
USA.	98.10	7.40	68.60	0.60
Others	48.90	11.20	238.20	1.80
Total	104,647.60	127,151.80	134,836.60	135,279.70

Source: National Veterinary Research & Quarantine Service

2 Local Deer Industry

2.1 GOVERNMENT POSTPONED FMD ERADICATION ANNOUNCEMENT

2 deer were found having FMD antibodies in Pocheon City, Gyeonggi Province on 9 March 2010 where the first FMD outbreak occurred.

Quarantine office said it is first time in Korea antibodies have been found in livestock with no previous symptoms. All 12 heads of deer in the farm were slaughtered and the eradication announcement deferred.

This FMD outbreak in 2010 has resulted in culling of 5,754 heads of livestock in 53 farms in Gyeonggi Province with the estimated damage of KRW 42.2 bil (NZD 53 mil).

Source: Joins, 11 March 2010

2.2 KOREA DEER BREEDERS ASSOCIATION PROMOTES LOCAL DEER VELVET AND VENISON

KDBA held a promotional event in the centre of Seoul with the special financial support by Korea Racing Authority (KRA) on 10 February 2010. KDBA's Chairman, Kang, Joon-soo strongly stressed the safety of local deer velvet and venison product together with introducing Nokyeong-tang and venison bulgogi to the public.

Source: Nongmin Newspaper, 19 February 2010

2.3 RFID SYSTEM ON IMPORTED DEER VELVET

Son Sook-mee, a member of The Grand National Party questioned testing of origination of imported sliced deer velvet.

She said KFDA has recently operated DNA tests on imported sliced deer velvet sample to identify the deer origination but failed. It means it is technically impossible to trace the product's origin and that this can confuse the market and consumers.

To avoid illegal distribution and potential negative impact on public health, she stressed government and industry need to consider requesting exporting countries to adopt RFID attachment to deer velvet exports.

Korea imported 53,318mt (USD 7,830,000) of deer velvet from Russia last year 2009. It is considered the best quality product and its international price is reaching almost USD 300 per kg recently. Some importers/distributors substitute cheap North American product, priced at only USD 70 – 80 per kg for labelled Russian deer velvet. Even worse, the North American deer velvet is suspected of coming from Canada, which is under import ban by Korean government against Chronic Waste Disease, she added.

Source: Yakup Newspaper, KMA Times and Medical Today, 11 February 2010

2.4 MINISTRY FOR FOOD, AGRICULTURE, FOREST AND FISHERIES IS TO OPERATE DEER TUBERCULOSIS MONITORING PROGRAMME

MIFAFF announced that its Animal Health Division will lead the pre-emptive test and monitoring programme of deer tuberculosis in the year. The preventive measure will be build up after nationwide test on 5,000 heads of deer.

Source: Monthly Yangrok (Deer Farming), February 2010

2.5 MARKET SURVEY FOR KOREA'S DEER INDUSTRY 2010 : LIVE DEER PRICE UP, CO-PRODUCTS PRICE DOWN

Monthly Yangrok surveyed of 23 producers and distributors for Korea's deer industry forecast in 2010.

19 out of 23 respondents said live deer price would be up, regardless of species but especially Elk, male, which was the basis of herds slaughtered against FMD in 2009. They forecasted live male Elk price will be increased by 50 – 100 percent. Most respondents answered deer diseases affect livestock price followed by the factors of sales condition of co-products, government policy and wholesale price of velvet.

Prices of velvet and oriental medicines were forecast as remaining similar to level of sales in 2009. However, most of respondents were concerned about how local inventories from 2009 will influence the market in 2010. They also said country's economic downturn, deer diseases, illegal velvet distribution and price and promotion activities affect the whole deer industry in 2010.

Source: Monthly Yangrok (Deer Farming), February 2010

2.6 MARKET PRICE OF LIVE DEER AS OF 15 JANUARY 2010

			Elk	Sika	Red
2 Yr Old (2009 Born)	Female		88.4 (NZD 1,105)	30.1 (NZD 376)	38.8 (NZD 485)
	Male		208.9 (NZD 2,611)	42.7 (NZD 534)	58.9 (NZD 736)
3 Yr Old (2008 Born)	Female		104.9 (NZD 1,311)	36.7 (NZD 459)	46.6 (NZD 583)
	Male		267.1 (NZD 3,339)	57.6 (NZD 720)	71.1 (NZD 889)
4 Yr Old (2007 Born)	Female		117.7 (NZD 1,471)	40.5 (NZD 506)	54.7 (NZD 684)
	Male		319.9 (NZD 3,999)	70.3 (NZD 879)	91.3 (NZD 1,141)
5 Yr and Older	Female		123.5 (NZD 1,544)	44.2 (NZD 553)	59.7 (NZD 746)
	Male				
	(Velvet production volume)		(Less 10 kg) 292.7 (NZD 3,659)	(Less 1 kg) 62.2 (NZD 791)	(Less 4 kg) 86.1 (NZD 1,076)
			(Less 10 – 15 kg) 302 – 503 (NZD 3,775 – 6,288)	(Less 1 – 1.5 kg) 60 -83 (NZD 750 – 1,038)	(Less 4 – 6 kg) 90 – 122 (NZD 1,125 – 1,525)
		Avg	402.7 (NZD 5,034)	70.9 (NZD 886)	106.2 (NZD 1,328)
			(Less 15 – 20 kg) 512 – 854 (NZD 6,400 – 10,675)	(Less 1.5 – 2 kg) 84 – 103 (NZD 1,050 – 1,288)	(Less 6 – 8 kg) 123 – 155 (NZD 1,538 – 1,938)
		Avg	683.5 (NZD 8,544)	93.3 (NZD 1,166)	139.4 (NZD 1,743)
			(Over 20 kg) 1,145 (NZD 14,313)	(Over 2.0 kg) 126 (NZD 1,575)	(Over 8 kg) 193 (NZD 2,413)

	Young Deer		
	Elk		Sika
	Naturally born	Artificially inseminated	Naturally born
Female	61.3 (NZD 766)	132.2 (NZD 1,653)	23 (NZD 288)
Male	168.4 (NZD 2,105)	304.7 (NZD 3,809)	31.9 (NZD 399)

Unit: KRW 10,000 (1 NZD = KRW 800)

Data Source: Korea Rabbit and Deer Farmers Cooperative

Source: Monthly Yangrok (Deer Farming), February 2010

2.7 MID & LONG TERM ROADMAP FOR KOREA'S DEER INDUSTRY

Moon, Cheol [phonetic], Managing Director of Wow Brain Consulting Group presented a development roadmap for Korea's deer industry.

He sees the local deer industry is faced to many difficulties such as impending FTA ratification with New Zealand, declining number of farms and herd size and rising stock feed price.

Korea consumes almost 80 percent of global deer velvet production and has approx KRW 2.5 tril (NZD 31.3 bil) sized velvet prescription market but self-sufficiency ratio is only reached 25 percent.

The roadmap contains 8 assignments:

- Designating deer as one of major agricultural items to be supported by government protecting and promoting policies
- Designating and/or founding representative organisations for production and distribution respectively
- Supporting deer farming and processing organisation to enlarge the business
- Setting up livestock registration and labelling producer's name on deer velvet product
- Supporting levy system based on the herd size
- Providing subsidy support to purchase stock feed and farming facilities
- Funding farms possessing more than 50 heads of deer to turn them into the full time farms
- Supporting levy system for livestock registration

And 4 projects:

- Production system development (including facilities, farm management and government policy improvement)
- Sales and distribution system development (by securing price competitiveness and transparency, diversifying distributional channels and collaborating with oriental clinic)
- Regulation and policy development (by specifying and registering deer co-products in the pharmaceutical, livestock product processing and food sanitation acts, adding velvet to food code as livestock ingredient and promoting relative policy setup for financial support)
- Research and product development (by establishing government-led R&D centre, securing various clinical data and expanding market with new products)

Source: Monthly Yangrok (Deer Farming), February 2010

2.8 GONG JIN DAN IS PROVED THE EFFICACY BY KOREAN RESEARCH TEAM

A thesis collaborated by Professors from Kyung Hee University and Purume Oriental Rehabilitation Centre for Children was included in Neuroscience Letters in December 2009. The in-vitro study of "The effect of Gong Jin Dan to improve cognitive functions and learning ability" showed that deer velvet and ligusticum acutilobum in Gong Jin Dan promotes secretion of nerve growth factor and improves concentration.

Source: AKOM News, 14 January 2010

2.9 NEW ZEALAND AND KOREA FTA'S IMPACT ON KOREAN DEER INDUSTRY

Monthly Yangrok publishes serial article on FTA's impact between two countries based on the research outcomes by Korea Rural Economic Institute (KREI) in June 2009.

The research concluded that Korean deer velvet industry would lose KRW 6 – 12.5 bil (NZD 7.5 – 15.6 mil) comparing with 2007 production with value of KRW 83.9 bil (NZD 105 mil) when FTA is ratified. It is maximum 12.5 percent decrease in production value, KREI said.

Survey for Deer Farming Difficulties

Difficulties	Number of respondents (farms)	Percentage (%)
Falling incomes by velvet price drop	4	10.0
Higher production cost by stock feed price up	19	47.5
Management barriers ie diseases	1	2.5
NZ – Kor FTA ratification	12	30.0
Absence of a successor	3	7.5
Other	1	2.5
Total	40	100.0

Survey of Elk Deer Farms for Deer Velvet Production, Sales Price and Type

	Elk			Velvet production (nyang)	Velvet price (KRW/nyang)			Share of the sales type (%)		
	F	M	Total		Direct dealing	To wholesaler	Other	Direct dealing	To wholesaler	Other
Farm No 1	0	15	15	3,467	20,000 (NZD 25)	-	-	100.0	0.0	0.0
Farm No 2	4	24	28	4,267	20,000 (NZD 25)	8,000 (NZD 10)	-	80.0	20.0	0.0
Farm No 3	0	7	7	2,400	20,000 (NZD 25)	7,500 (NZD 9.4)	-	85.0	15.0	0.0
Farm No 4	0	10	10	2,400	20,000 (NZD 25)	-	-	100.0	0.0	0.0
Farm No 5	30	70	100	21,333	20,000 (NZD 25)	7,600 (NZD 9.5)	13,000 (NZD 16.3)	15.0	80.0	5.0
Farm No 6	0	12	12	4,000	18,750 (NZD 23.69)	7,500 (NZD 9.4)	-	50.0	50.0	0.0
Farm No 7	8	13	21	5,200	20,000 (NZD 25)	7,000 (NZD 8.6)	-	60.0	40.0	0.0

Avg	6	2 2	28	6,152	19,821 (NZD 24.78)	7,520 (NZD 9.4)	13,000 (NZD 16.3)	70.0	29.3	0.7
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Note: 1 nyang = 37.5 gram

Estimated Income of the Above Elk Deer Farms

	*Velvet sales income	Income per head of Elk (male)	Cost					Net income
			Concentrated feed	Conventional feed	Animal drugs	Others	Total	
Farm No 1	6,933 (NZD 86,663)	462 (NZD 5,775)	803 (NZD 10,038)	210 (NZD 2,625)	20 (NZD 250)	16 (NZD 200)	1,049 (NZD 13,113)	5,884 (NZD 73,550)
Farm No 2	7,509 (NZD 93,866)	313 (NZD 3,913)	1,226 (NZD 15,325)	800 (NZD 10,000)	70 (NZD 875)	460 (NZD 5,750)	2,556 (NZD 31,950)	4953 (NZD 57,413)
Farm No 3	4,350 (NZD 54,375)	621 (NZD 7,763)	500 (NZD 6,250)	100 (NZD 1,250)	30 (NZD 375)	-	630 (NZD 7,875)	3,720 (NZD 45,600)
Farm No 4	4,800 (NZD 60,000)	480 (NZD 6,000)	312 (NZD 3,900)	192 (NZD 2,400)	40 (NZD 500)	45 (NZD 563)	589 (NZD 7,363)	4,211 (NZD 52,638)
Farm No 5	20,757 (NZD 259,463)	297 (NZD 3,488)	4,000 (NZD 50,000)	1,000 (NZD 12,500)	500 (NZD 6,250)	500 (NZD 6,250)	6,000 (NZD 75,000)	147,57 (NZD 184,463)
Farm No 6	5,250 (NZD 31,500)	438 (NZD 5,475)	862 (NZD 10,775)	500 (NZD 6,250)	60 (NZD 750)	-	1,360 (NZD 17,000)	3,890 (NZD 48,625)
Farm No 7	7,696 (NZD 96,200)	592 (NZD 7,400)	-	-	-	-	-	-
Avg	8,185 (NZD 102,313)	458 (NZD 5,725)	1,274 (NZD 15,925)	467 (NZD 5,838)	120 (NZD 1,500)	255 (NZD 3,188)	2,031 (NZD 25,388)	6,236 (NZD 77,950)

Unit: KRW 10,000

* Velvet Sales Income = Velvet production volume X Share of the sales type (direct dealing, to wholesaler, other) X Velvet price by the sales type (direct dealing, to wholesaler, other)

Estimated Deer Velvet Price and Korean Market in Non-Tariff Scenario

	Cross-price elasticity	Price fluctuation of	Impact on Korean velvet market (%)		
			Price	Supply	Production

		NZ velvet (%)			value
Non-Tariff condition	1.47	-16.7	-4.1	-3.2	-7.2
	0.66	-16.7	-5.7	-4.4	-9.8
	0.83	-16.7	-7.3	-5.6	-12.5

Note: Estimated 0.66 of cross-price elasticity for Korean deer velvet demand in standard error 0.18. Also, estimated -1.15 and 0.77 respectively for price elasticities of demand and supply of Korean deer velvet.

Local Deer Velvet Decline Impacted by Tariff Abolition by Scenario

Tariff abolition		Scenario by cross-price elasticity		
		0.47	0.66	0.83
Immediate		-60 (NZD 7.5 mil)	-83 (NZD 1 mil)	-105 (NZD 13.1 mil)
In 10 years	Year 1	-7 (NZD 78,5000)	-10 (NZD 1.3 mil)	-13 (NZD 1.6 mil)
	Year 2	-14 (NZD 1.8 mil)	-19 (NZD 2.4 mil)	-25 (NZD 301 mil)
	Year 3	-21 (NZD 2.6 mil)	-28 (NZD 3.5 mil)	-36 (NZD 4.5 mil)
	Year 4	-17 (NZD 2.1 mil)	-37 (NZD 4.6 mil)	-47 (NZD 5.9 mil)
	Year 5	-33 (NZD 4.1 mil)	-46 (NZD 5.8 mil)	-58 (NZD 7.3 mil)
	Year 6	-39 (NZD 4.9 mil)	-54 (NZD 6.8 mil)	-68 (NZD 8.5 mil)
	Year 7	-44 (NZD 5.5 mil)	-61 (NZD 7.6 mil)	-78 (NZD 9.8 mil)
	Year 8	-50 (NZD 6.3 mil)	-69 (NZD 8.6 mil)	-87 (NZD 10.9 mil)
	Year 9	-55 (NZD 6.9 mil)	-76 (NZD 9.5 mil)	-96 (NZD 12 mil)
	Year 10	-60 (NZD 7.5 mil)	-83 (NZD 10.4 mil)	-105 (NZD 13.1 mil)
In 15 years	Year 1	-5 (NZD 625,000)	-7 (NZD 875,000)	-9 (NZD 1.1 mil)
	Year 2	-10 (NZD 1.3 mil)	-13 (NZD 1.6 mil)	-17 (NZD 2.1 mil)
	Year 3	-14 (NZD 1.8 mil)	-19 (NZD 2.4 mil)	-25 (NZD 3.1 mil)
	Year 4	-18 (NZD 2.3 mil)	-26 (NZD 3.3 mil)	-33 (NZD 4.1 mil)
	Year 5	-23 (NZD 2.9 mil)	-31 (NZD 3.8 mil)	-40 (NZD 5 mil)
	Year 6	-27 (NZD 3.4 mil)	-37 (NZD 4.6 mil)	-47 (NZD 5.9 mil)
	Year 7	-31 (NZD 3.9 mil)	-43 (NZD 5.4 mil)	-54 (NZD 6.8 mil)
	Year 8	-35 (NZD 4.4 mil)	-48 (NZD 6 mil)	-61 (NZD 7.6 mil)
	Year 9	-39 (NZD 4.9 mil)	-54 (NZD 6.8 mil)	-68 (NZD 8.5 mil)
	Year 10	-43 (NZD 5.4 mil)	-59 (NZD 7.4 mil)	-75 (NZD 9.4 mil)
	Year 11	-46 (NZD 5.8 mil)	-64 (NZD 8 mil)	-81 (NZD 10.1 mil)
	Year 12	-50 (NZD 6.3 mil)	-69 (NZD 8.6 mil)	-87 (NZD 10.9 mil)
	Year 13	-53 (NZD 6.6 mil)	-73 (NZD 9.1 mil)	-93 (NZD 11.6 mil)
	Year 14	-57 (NZD 7.1 mil)	-78 (NZD 9.8 mil)	-99 (NZD 12.4 mil)
	Year 15	-60 (NZD 7.5 mil)	-83 (NZD 10.4 mil)	-105 (NZD 13.1 mil)

Unit: KRW 100,000,000

Note: Fluctuation of consumer price and forex are unconsidered. Deer velvet production is based on KDBA's estimation for 2007.

Estimated Total Loss in Value

Cross-	Total loss
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price elasticit y	Direct dealing 60%	To wholesaler 40%	Direct dealing 50%	To wholesaler 50%	Direct dealing 40%	To wholesaler 60%	Direct dealing 30%	To wholesaler 70%
0.47	-119 (NZD 14.9 mil)		-179 (NZD 22.4 mil)		-238 (NZD 30 mil)		-298 (NZD 37 mil)	
0.66	-140 (NZD 18 mil)		-199 (NZD 24.9 mil)		-256 (NZD 32 mil)		-314 (NZD 39 mil)	
0.83	-161 (NZD 20 mil)		-217 (NZD 27 mil)		-273 (NZD 34 mil)		-329 (NZD 41 mil)	

Unit: KRW 100,000,000

Source: Monthly Yangrok (Deer Farming), November - February 2010

2.10 KOREA NOKYONG RESEARCH CENTRE FOUND DEER VELVET IMPROVES IMMUNITY BY 66 PERCENT MAX

KNRC announced its study result that deer velvet and oriental medicinal herb extracts can boost immunity by maximum 66 percent. It said to the public deer velvet and oriental medicines helps people to prevent diseases ie H1N1 flu with less adverse reaction.

Source: Joins, 13 December 2010

2.11 VENISON DISH AND PINOT NOIR WINE IN NEW ZEALAND

Tourism New Zealand Korea and Tour Media promoted New Zealand's cervena together with pinot noir by writing on one of major daily newspapers, Chosun Ilbo. The article said that cervena has lean texture in rich taste and it becomes better with tamarillo fruit from Taranaki region in New Zealand. It also introduced detailed recipe with a picture for readers.

Source: Chosun Ilbo, 7 December 2009

2.12 DEER TUBERCULOSIS CULLED AND BURIED 46 ELK DEER IN CHUNGBUK PROVINCE

The local government found 46 Elk deer in 4 farms infected by tuberculosis that can be transmitted to humans. Apprx 8,000 heads of deer are raised in the region at 800 farms. The industry people are concerned about price rise of live deer impacted by potential shortage of supply when the epidemic spreads to the whole country.

Source: Monthly Yangrok (Deer Farming), December 2009

2.13 RURAL DEVELOPMENT ADMINISTRATION OPERATED TRAINING PROGRAMME TO DEER FARMERS

50 deer farmers were selected by RDA to attend 2 days training programme to understand the blue ocean market for deer co-products supply, leading technology for high quality velvet and venison production, marketing and management, practical artificial insemination, traceability system in branding strategy and venison processing technology.

Source: AFL News, 19 November 2009

3 Wholesale & Retail Price of Imported Deer Velvet (as of early March 2010)

According to importers, demand for deer velvet is still low, even though the general economic situation has improved and consumption of oriental medicine has increased due to H1Ni. Patients are still hesitant to spend money and ask doctors to include deer velvet in their oriental medicine prescriptions. The peak season for Koreans to take oriental medicine is from September to November to better prepare for harsh winter. However the deer velvet consumption had not been very high last autumn. The next large season is spring from March to May.

Korean importers have not bought much from New Zealand this season and still very hesitant. They are very worried as China has lots of NZ's Korean grade deer velvet from the last season in stock and even though it is illegal, much of them will eventually come to Korea, competing with legally imported product, paying 44% of various duties.

(Unit: Korean Won / keun = 600g)

ORIGIN	IMPORT COST	WHOLESALE PRICE	RETAIL PRICE
New Zealand	KRW 220,000 – 235,000 (NZD 275 – 294)	KRW 240,000 - 250,000 (NZD 300 – 313)	Bungol (tip): KRW 4200,000 – 450,000 (NZD 525 – 563) Sangdae (upper part): KRW 260,000 – 300,000 (NZD 325 –375) Jungdae (middle part): KRW 150,000 – 180,000 (NZD 188 – 225)
China	KRW 200,000 - 210,000 (NZD 250 – 263)	KRW 230,000 – 240,000 (NZD 288 – 300)	Bungol: KRW 420,000 – 450,000 (NZD 525 – 563) Sangdae: KRW 250,000 – 280,000 (NZD 313 – 350) Jungdae: KRW 140,000 – 150,000 (NZD 175 – 188)

Russia	KRW 320,000 - 350,000 (NZD 400 – 438)	KRW 265,000 - 290,000 (NZD 331 – 363)	Bungol: KRW 750,000 – 800,000 (NZD 938 – 1000) Sangdae: KRW 450,000 – 480,000 (NZD 563 – 600) Jungdae: KRW 220,000 – 250,000 (NZD 275 - 313)
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Notes:

1. NZD 1 = Apprx KRW 800
2. Source: Deer velvet importers
3. The “wholesale price” is the price for whole sticks paid by wholesalers/slicing companies to importers and the “retail price” is the price of sliced velvet paid by oriental medicine clinics to wholesalers. The minimum sales quantity is 1 keun (16 nyang x 37.5 grams = 600 grams).

3.1 RETAIL PRICES OF NEW ZEALAND VELVET TO INDIVIDUAL CONSUMERS

Packaging: 2 nyang (75g) retail pack

Bungol (tip): KRW 127,000 – 160,000 (NZD 159 – 200)

Sangdae (upper part): KRW 98,000 – 140,000 (NZD 123 – 175)

Jungdae (middle part): KRW 50,000 – 60,000 (NZD 63 – 75)

Source: A retail shop in Kyung Dong Oriental Herb Market.

4 Velvet Market Movements & Major Developments

4.1 ALBE C&C CO LTD REALEASED NEW BOOSTER “MISA GEUMSEOL GHIYOON ESSENCE” CONTAINING NZ DEER VELVET

The company's brand “Missha” released a new essence booster, “Misa Geumseol Ghiyoon Essence”, which contains New Zealand deer velvet, ginseng concentrate and 99.9 percent pure gold. It was passed the test for wrinkle care and whitening functionalities before the market release. Also, the company is promoting that it applied functional and oriental medicinal ingredients such as New Zealand deer velvet on its website. It is sold at KRW 48,000 (NZD 60) for a 100ml bottle.

Source: The Beauty News Su, 19 February 2010

4.2 KOREA NOKYONG DEVELOPMENT INSTITUTE AT KONKUK UNIVERSITY COMMERCIALISED MULTI-FUNCTIONAL DEER VELVET DRINK “GONGBOO CHANG”

KNDI, the deer velvet research and development institute of Konkuk University introduced “Gongboo Chang” of the brain boosting drink to local retail market such convenience store, supermarket and pharmacy. (for details, www.hannokwon.com/eng/contents/product/03_product03_view.html?sm=3_3). It is targeting student consumer group to encourage their study ability by intake of ‘Gangliosides’ in deer velvet.

Source: Newsis, 28 January 2010

4.3 KWANGDONG PHARMACEUTICAL’S “CELLGUARD” FOR IMMUNITY BOOST

Kwangdong Pharmaceutical Co Ltd introduced “Cellguard” [phonetic] to the market, which is a health and functional food, made of vitamin E, A, D, zinc and oriental medicines including deer velvet. Consumers can purchase it at pharmacies.

Source: Nutradex News, 22 December 2009

4.4 COSMETICS APPLIED FERMENTED DEER VELVET

Somang Cosmetics Co Ltd introduced new product “Danahan Hyo Yong Go Sleeping Pack” to consumers. It said that the product contains Kyung Ok Go, known as one of the best Chinese medicine made of 30 ingredients including fermented deer velvet. The low temperature fermenting process of deer velvet created beneficial components to health and beauty.

Source: The Beauty News Su, 15 December 2009

4.5 ENPRANI’S “JOANJIN FIRST ESSENCE” MAKES RICH SKIN

The company promoted the product as a skin enricher to the people who wants revitalise the skin tired from many year-end parties and occasions. It said deer velvet extract in the product invigorates skin and boosts metabolism in the body. It is KRW 50,000 (NZD 63) for 40ml.

Source: *Health Korea News*, 2 December 2009.

4.6 TAE AN GOVERNMENT IN CHUNGNAM PROVINCE SUPPORTED A DEER FARMER TO DEVELOP AND COMMERCIALISE HEALTH DRINK

The government supported a deer farmer to develop health drink which is made of deer velvet, dandelion, bellflower root and pear. The farmer has seen lots of consumers repulsed by the unique smell of deer velvet so decided to develop easy-to-intake product for all consumer groups including children. It is sold at KRW 50,000 (NZD 63) per 50 retort packs. A local health and functional food company, D Bio Co Ltd takes part in mass manufacturing process.

Source: *Chungcheong Daily*, 30 November 2009

4.7 LG HOUSEHOLD & HEALTH CARE RELEASED "SOO RYE HAN GOLD MAKE-UP"

New cosmetics product applied gold and oriental medicines, was released by LG Household and Health Care Ltd in November 2009. "Soo Rye Han Gold Make-Up" contains various oriental medicinal ingredients such as deer velvet, cordyceps militaris and phellinus ssp. Those ingredients function helping blood circulation and eliminating wastes in skin.

Source: *The Beauty News Su*, 30 November 2009

Prepared by:

Jeong-hee Bai
Trade Development Executive
New Zealand Trade and Enterprise, Seoul